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Sequential Decision Making

This approach involves making decisions incrementally, adjusting strategies based on feedback and newly available information over time. Decision-makers initially act on the best data available, implement their choices, and then evaluate their effectiveness through feedback. Based on this assessment, they refine their decisions to adapt to evolving circumstances.

Key Advantages of Sequential Decision Making

Time and Resource Efficiency: By focusing on the most relevant information and simplifying complex problems, bounded rationality enables quicker decision-making. Since time and resources are limited, prioritizing key insights ensures more effective decisions.



Adaptive Flexibility: Decision-makers can modify their strategies in response to feedback and real-world outcomes. This adaptability helps them refine their approach, continuously learning from experience to achieve goals in dynamic and unpredictable environments.

Benefits	Reasons
Time Efficiency	Quicker decision making by focusing on key information
Resource Efficiency	Prioritizing relevant information within limited data
Adaptive Flexibility	Strategic adjustments based on feedback in dynamic environments

Potential Risks

- Better alternatives may be overlooked.
- Limited information processing can restrict choices and hinder optimal decision-making.
- Long-term implications might be ignored, making this approach more suitable for short-term goals and dynamic decision-making.